GMS WEEKLY

Your Source for Recycling News

July 22nd, 2022
Volume 240, Issue 1041
Week 29

Highlights:

- **Adjusting down.**
- **LC limits.**
- **Historical lows.**
- **Few purchases.**
- **India worries.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"Don't bunt. Aim out of the ballpark. Aim for the company of immortals."

– David Ogilvy

MARKET COMMENTARY

INSTABILITY BITES!

As the ship recycling sector continues to try and adjust to these new lower realities on price, in addition to adhering to new regulations on L/C limits amidst a dire shortage of U.S. Dollars foreign exchange / reserves in both Pakistan and Bangladesh, the industry is certainly going through an uncertain period.

This week, the Bangladeshi government introduced new limits to cap the outgoing volume of U.S. Dollars for 'essential' purchases only – raising question marks about higher priced vessels for recycling purchases in the foreseeable future. As such, the government announced that any L/C over USD 5 million has to be approved by the Central State Bank for opening, with the Bangladeshi Taka struggling to such a worrying extent of late.

Unfortunately, the currency situation is no better elsewhere as we are witnessing fresh historical lows by the day in all of the major recycling destinations on their respective currencies against the U.S. Dollar, and there have been elevated fears across these locations that international trade may eventually start driving domestic inflation up as the U.S. Dollar continues to strengthen rapidly.

Keeping things in check is the fact there are very few new units to work on, now that the tanker chartering market is firming further and this may give the recycling markets, some time to settle and stabilize before fresh units are proposed to Recyclers once again come Q4.

While Pakistan has registered a massive drop in local steel plate prices this week, India remains the most stable of the sub-continent markets despite the extreme volatility on Indian plate prices seen on a near daily basis and similar worrying currency depreciation is leaving Alang Recyclers confused and nervous on any firm offers moving forward.

On the West End, Turkish plates take another tumble this week as even the currency – like all the major recycling locations – continues its steady slow descent to oblivion.

For week 29 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	580 / LDT	590 / LDT	600 / LDT
2	India	Weak	570 / LDT	580 / LDT	590 / LDT
3	Pakistan	Weak	560 / LDT	570 / LDT	580 / LDT
4	Turkey	Weak	260 / LDT	270 / LDT	280 / LDT

BANGLADESH

L/C FEARS!

State Bank approval.

News that any L/C valued over USD 5 million would need to be approved by the Central State Bank, has rocked the industry this week and very serious questions have to be asked on any large LDT deals being done into Bangladesh for the foreseeable future.

Only 'essential' L/Cs over the aforementioned amount will need be approved to be opened, so critical is the shortage of U.S. Dollars in the country, as we have seen millions wiped of the Bangladeshi Taka due to the recent worrying depreciations here.

Eerily stagnant.

While local steel plate prices recorded an eye-watering jump of nearly USD 50/Ton within one week alone, the Taka continues to haemorrhage against the U.S. Dollar as it briefly breached BDT 94 this week.

Overall, many yards remain empty and local port report is seriously thinning, as demand for ships ramps up again, yet prices and ability to perform remains eerily stagnant.

NO MARKET SALES REPORTED

INDIA

DAZED AND CONFUSED!

Extreme volatility.

Once again, we have seen some extreme volatility on local steel prices, in addition to a currency that continues to depreciate uncontrollably against the U.S. Dollar (even briefly breaching Rs. 80 and settling down in the high Rs. 79s), leaving the local market continually on edge and nervous about the ongoing volatility and further declines ahead.

Steel plate prices can often rise and fall by USD 15 – USD 20/Ton in a single day, making it impossible to book forward orders and hedge just where to place their offers on any incoming units.

Hoping for stability.

Furthermore, Alang Buyers can see what is happening in the competing markets (Pakistan & Bangladesh) and this is hardly bringing a sense of stability to proceedings over this volatile uncertain summer.

The only consoling factor is that there are very few candidates to work on, so the hope is that markets settle soon before an expected busier Q4 push onwards.

NO MARKET SALES REPORTED

PAKISTAN

TESTING & TUMULTUOUS!

Lowest placed.

Pakistan remains the lowest placed of all sub-continent markets and the most unlikely of all three locations to perform on any new acquisitions, given the recent turmoil we have witnessed from this location.

The political coup that ousted Prime Minister Imran Khan has led to a crisis in the country and the ongoing global U.S. Dollar mayhem is resulting in a Pakistani Rupee that is breaching historical lows against the Dollar (virtually) on the daily, leaving most Gadani Buyers fearful of further falls ahead.

Fears.

Moreover, despite a growing number of empty recycling yards and a pervasive demand for units, Pakistani Recyclers remain reluctant to offer on the paucity of units currently available.

Meanwhile, unlike the Bangladeshi market this week, where steel plate prices firmed by nearly USD 50/Ton, Pakistani steel plate prices plummeted by over USD 80/Ton, further damaging an already shredded local sentiment.

Overall, there have been lingering local fears that the country could go the way of the recently collapsed Sri Lankan economy, and as such, Gadani Recyclers are watchful and bracing for any potential falls and are taking their time testing the market ahead.

NO MARKET SALES REPORTED

TURKEY

STRUGGLING, STILL!

After a couple of weeks of stability in local and import steel plate prices, the Turkish market tumbled further this week with an additional USD 20/Ton decline on local and USD 30/Ton on import steel.

Steel drops further.

Additionally, the Turkish Lira continues to hammer away at local sentiments as it heads unstoppably towards TRY 18 while flying past TRY 17.65 this week.

We get the odd news of small LDT local arrivals at the waterfront, but these have been few and far between and, overall, the number of 'market' fixtures are virtually unheard of over the last year or so.

Grim.

While freight markets remain firm, global availability of market candidates remains flimsy at best and the immediate future for Aliaga, remains grim for now.

NO MARKET SALES REPORTED

AMAZING FACTS

- *The first oranges weren't orange. The original oranges from Southeast Asia were a tangerine-pomelo hybrid, and they were actually green. In fact, oranges in warmer regions, such as Vietnam and Thailand, still stay green through maturity.*
- *There's only one letter that doesn't appear in any U.S. state name. Can you guess the answer to this random fun fact? You'll find a Z (Arizona), a J (New Jersey), and even two X's (New Mexico and Texas)—but not a single Q.*
- *A cow-bison hybrid is called a beefalo. You can even buy its meat in at least 21 states.*
- *Scotland has 421 words for snow. Yes, 421! Some examples: sneesl (to start raining or snowing); feefle (to swirl); and flinkdrinkin (a light snow).*
- *Samsung tests phone durability with a butt-shaped robot. People stash their phones in their back pockets all the time, which is why Samsung created a robot shaped like a butt to "sit" on their phones to make sure they can take the pressure. Believe it or not, the robot even wears jeans.*
- *The Windy City nickname has nothing to do with Chicago's weather. If you live in Chicago, you might already know this random fact, but we're betting most other people don't. Chicago's nickname was coined by 19th-century journalists who were referring to the fact that its residents were "windbags" and "full of hot air."*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
August 15 – Independence Day	July 26 – August 03 August 08 – August 17 August 25 – September 02

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
August 09 – Moharram August 15 – National Mourning Day August 18 - Janmashtami	July 29 – August 01 August 11 – August 14 August 27 – August 30

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in August	August 7 – 8 – Muharram August 14 – Independence Day	August 30 – Victory Day

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ALANG - Port Position as of July 22, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		-		

CHATTOGRAM - Port Position as of July 22, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ariana	15,672	Tanker	Arrived June 22
2	*Cui Hua*	*5,491*	*Bulk Carrier*	*Beached July 16*
3	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
4	*Muhibbah PB 16 (Under Tow)*	*728*	*Barge*	*Beached July 19*
5	*Ocean Alice*	*3,071*	*Tanker*	*Beached July 20*
6	Onsan Gas	2,094	LPG	Arrived July 21
7	Pacific Marine	1,150	Tanker	Arrived July 14
8	Winton T128	975	Bulk Carrier	Arrived June 23
Total Tonnage		46,066		

GADANI - Port Position as of July 22, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Israr 1*	*470*	*Fishing Trawler*	*Beached July 18*
Total Tonnage		470		

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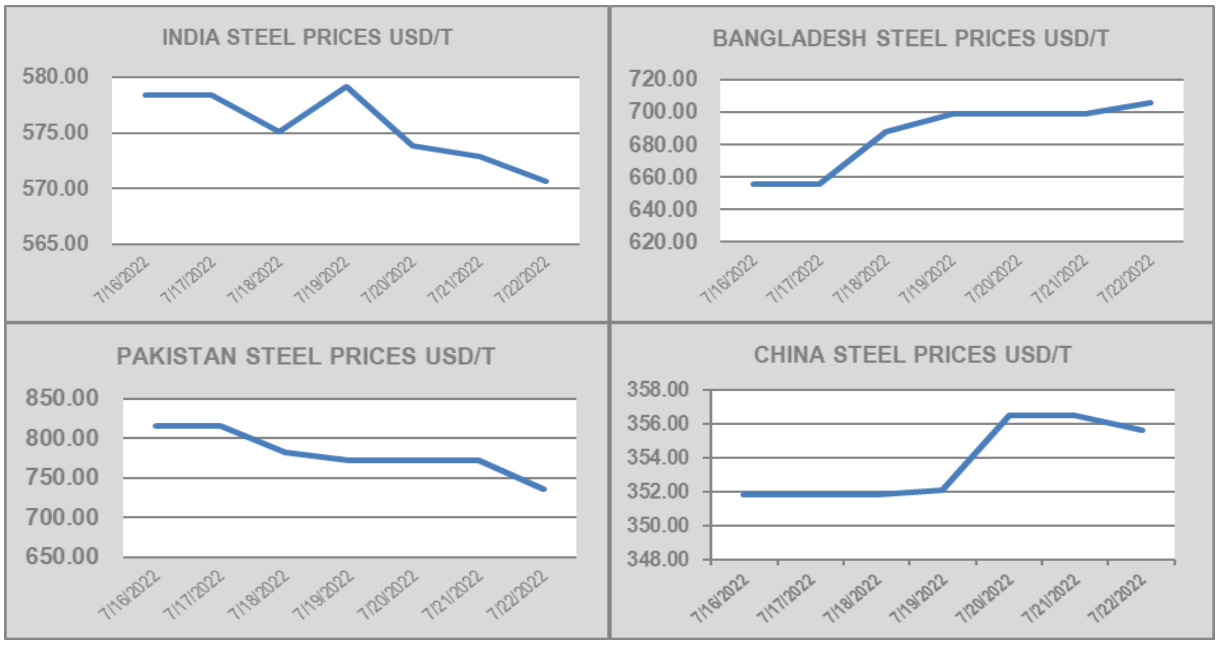
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
7/16/2022	578.37	46,200.00	816.43	169,000.00	655.91	61,000.00	351.84
7/17/2022	578.37	46,200.00	816.43	169,000.00	655.91	61,000.00	351.84
7/18/2022	575.14	46,000.00	782.41	169,000.00	688.17	64,000.00	351.84
7/19/2022	579.18	46,300.00	771.69	169,000.00	698.92	65,000.00	352.13
7/20/2022	573.82	45,900.00	771.69	169,000.00	698.92	65,000.00	356.56
7/21/2022	572.86	45,800.00	771.69	169,000.00	698.92	65,000.00	356.56
7/22/2022	570.64	45,600.00	736.38	169,000.00	705.88	66,000.00	355.66



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